

Financial Proposal

COMPREHENSIVE ANESTHESIA COVERAGE MODEL



COVERAGE MODEL

Our proposal delivers comprehensive physician-led anesthesia coverage with **dedicated 24/7 in-house MD OB coverage**—ensuring immediate response for labor and delivery emergencies around the clock. Weekday OR coverage includes a dedicated anesthesiologist who also provides home call support, giving the hospital two MDs available during peak hours.

24/7 In-House MD OB Dedicated physician on-site for L&D every hour of every day—365 days/year	Weekday OR + Home Call MD In-house OR coverage plus home call availability for after-hours emergencies	Weekend CRNA Home Call CRNA available for weekend OR cases with rapid response capability
---	--	---

FINANCIAL SUMMARY

Line Item	Annual Cost
Weekday CRNAs (4 × \$180/hr × 8 hrs × 260 days)	\$1,497,600
Weekday MD — OR + Home Call (\$3,200/day × 260 days)	\$832,000
MD OB — 24/7 In-House (\$6,000/day × 365 days)	\$2,190,000
Weekend CRNA Home Call (\$500/day × 104 days)	\$52,000
Medical Director Stipend	\$50,000
Subtotal	\$4,621,600
Overhead & RCM @ 10% of Collections	\$364,938
Total Cost	\$4,986,538
Projected Revenue	\$3,649,382
Operating Deficit	(\$1,337,156)

Margin (reduced from \$750K)	\$600,000
Financial Assistance Required	\$1,937,156

TRANSITION COSTS — YEAR 1 ONLY

Transitioning to a permanent anesthesia team requires an initial investment in provider buyouts and temporary locums coverage during recruiting. The model below assumes a progressive ramp-down of locums as permanent providers are onboarded, with full permanent staffing achieved by Month 7.

Provider Buyout Costs	
CRNA Buyouts (4 × \$25,000)	\$100,000
MD Buyouts (2 × \$50,000)	\$100,000
Total Buyouts	\$200,000

Incremental Locums Cost (Day Shifts — Above Permanent Rates)	
Locums rates: CRNA \$250/hr, MD \$400/hr Permanent rates: CRNA \$180/hr, MD \$3,200/day Daily incremental: \$2,240 (CRNA differential only — MD rate washes at \$3,200/day) ~22 weekdays/month	
Month 1 — 100% Locums	\$49,280
Month 2 — 50% Locums	\$24,640
Months 3–6 — 25% Locums (4 months)	\$49,280
Months 7–12 — Fully Permanent	\$0
Total Incremental Locums	\$123,200

Total Transition Costs (Year 1 Only)	\$323,200
---	------------------

Year 1 Total Financial Assistance: \$1,937,156 (ongoing) + \$323,200 (transition) = \$2,260,356 Year 2+ Annual Financial Assistance: \$1,937,156
--

PARTNERSHIP TERMS

REVENUE SHARING — COLLECTIONS ABOVE GUARANTEE	
First \$500,000 above revenue guarantee	50% / 50% (Hospital / Meridian)
Collections exceeding \$500,000 above guarantee	75% / 25% (Hospital / Meridian)

ADDITIONAL COVERAGE OPTIONS	
Extended Hours Coverage (OR running past 3:00 PM)	\$200/hour per OR

Surge Coverage — 5th OR Room (weekdays, upon request)

\$350/hour

Note: The \$200/hour extended coverage rate represents breakeven compensation to cover the cost of CRNA and MD overtime when OR cases extend beyond scheduled hours. Surge coverage is available through our Meridian Surge Program to accommodate high-volume days or add-on cases requiring a fifth simultaneous room.

PARTNERSHIP COMMITMENTS

To demonstrate our commitment to a successful partnership, Meridian is offering the following:

- **Reduced Margin:** \$600,000 vs. standard \$750,000 (\$150,000 annual reduction)
- **Favorable Revenue Sharing:** Hospital retains majority of upside above guarantee
- **Transparent Transition Budget:** One-time costs fully itemized with clear ramp-down schedule